appropriate form. The companies that expense less than 60 per cent of value added as wages could be subjected to a wage tax, which would require them to pay the differential to the government. The government, in turn, can use such proceeds to undertake public works to serve the ESG agenda or redistribute this to help labour households to live a life better than the multidimensional poor.

Such a labour wage agenda would also reduce inequality in society. The regulatory social agenda can be in the form of obligatory compliances.

Governance Agenda

The governance agenda for corporates is, in key terms, essentially twofold. First, companies should be run in accordance with the highest standards of corporate governance to ensure that the legitimate interests of *all* stakeholders—not the controlling shareholders or CEO—should get a fair deal. Second, corporates must discharge their social and national responsibility well.

The first is more of a quality issue and therefore very difficult to quantify. A system of corporate governance rating can be instituted based on standards developed by the corporate regulator or the concerned corporate governance rating agency. A credit system of corporate governance rating can instil due confidence in all stakeholders.

The national and social responsibility governance agenda could be proxied by the tax paid by companies. A minimum standard of taxation—based on value addition by the company—can be institutionalized. For example, 20 per cent of the value added can be assessed as total tax liability of the company without getting into the numerous types of taxes companies are currently subject to. This can be a flat value added tax of 20 per cent on the value added by the company.

A 60 per cent:20 per cent:20 per cent split of the entire value added by a corporate entity between the workers, government and owners would serve